around the world demonstrates, a failed defence can be worse than no defence at all.

Resisting currency appreciation and currency depreciation are both complex challenges that test a central bank's credibility, but between the two, the former is arguably a better problem to have because of an important asymmetry that goes largely unrecognized.

When a central bank is trying to prevent appreciation of its currency, it intervenes in the market, buying forex by paying for it in the domestic currency, thus increasing the supply of domestic currency and reducing its value. A central bank's war chest of domestic currency is, at least in theory, unlimited as it can print any amount of the stuff it wants. There are, of course, negative side effects to such an action. The domestic currency that the central bank unleashes into the system in payment for the forex can fuel inflation, trigger asset bubbles and threaten financial stability. These are admittedly costly to deal with, but to the limited extent of exchange rate defence, the market can be in no doubt about the virtually unlimited firepower of the central bank.

Fighting depreciation of the currency, on the other hand, requires the central bank to sell forex from its finite reserves. If the central bank is seen to be losing reserves even as capital continues to exit and the domestic currency continues to fall, the nervousness in the markets can pull the currency down in a vicious spiral. This is a bigger risk.

The possibility of a putative tipping point is another challenge in exchange rate management. What is a tipping point? It is the point at which the floor caves in, foreigners lose confidence in the currency and pull out 'to cut losses', setting the exchange rate into a free fall. After May 2013 when the rupee slid sharply with no reversal in sight, some commentators started speculating on what the tipping point for the exchange rate might be —₹65 to a dollar? Or ₹70?

I was not persuaded by this tipping point argument. It is, in fact, possible to turn the argument around. The tipping point could actually act as a floor, the level below which the exchange rate will not go, because that will be a